Case: The Hostel Kitchen · facilitator notes

Organisers and judges only. Do not hand this to contestants. It goes with the contestant pack (CASE-HOSTEL-KITCHEN.md): model answers, the numbers behind them, the scores to expect, and how to run the case.

1. What the case tests

Round	Product	Consulting	Finance
1 · Build	Turning messy data into a per-box business with a break-even	Improving someone else's pitch; reading other companies for call 1	Telling strong pitches from weak ones; IPO sizing
2 · Crisis	Redesigning the operation under a hard rule, keeping shares	Pricing a fair fee and deal; co-writing a costed plan	Investing in a rescue at a fair price; trading the shock
3 · Close	Answering news with numbers in 100 words	Calls 2 and 3 from the plans and the flash	Anchoring on AI prices; closing out risk

The trap in the data: **hygiene is students' biggest worry (52%)**, and the crisis turns it into law. Strong teams plan for food safety from the pitch on; weak teams discover it at 00:30.

2. Round 1 model answer (pitch)

A strong company sells **dinner surplus as ₹50 "late boxes" at a counter in each hostel, 9:30–11 pm**, ordered on a WhatsApp bot and paid by UPI.

The numbers a strong pitch shows (all from the exhibits):

Line	Value
Supply	900 dinner plates wasted a day (Exhibit 1)
Demand	68% would buy at ₹50 (Exhibit 2); assume **60% of the 900 sold = 540 boxes a day**
Per box	₹50 price − ₹25 to Annapurna − ₹7 box = **₹18 contribution**
Daily costs	6 counter staff × 1.5 h × ₹120 = ₹1,080; ready-made bot ₹4,000/month ≈ ₹133/day
Profit	540 × ₹18 − ₹1,080 − ₹133 ≈ **₹8,500 a day**
Break-even	(₹32,400 staff + ₹4,000 bot a month) ÷ (₹18 × 30) ≈ **67 boxes a day**
One-off	6 insulated carriers × ₹1,800 = ₹10,800

Why Annapurna says yes: ₹25 × 540 = ₹13,500 a day for food it would bin, ₹364 a day less disposal, and waste falls from 23% to (2,900 − 540) ÷ 12,600 = **18.7%**, under the 20% audit line, which saves **₹50,000 a quarter** in penalties.

Advantage that convinces: an exclusive deal with Annapurna for the contract year, hostel-council counters, and the ordering data (who eats what, when), not "we have an app".

Expected scores: a pitch with per-box maths, a break-even and an answer to hygiene: **80–89** (+10%). Good idea, no numbers: **60–69**. "An app to reduce food waste" with no customer or price: **40–55**.

Q&A questions worth rewarding (Finance): *Who owns the food at 9:30 pm? What happens on days 300 boxes are left? What stops Annapurna doing this itself?*

3. Round 2 model answer (rescue plan)

The rule kills the 9:30 pm box: dinner is cooked at 7:00 pm, so it is 2½ hours old.

Three options a strong plan weighs:

Option	Cost	Effect
A. "Last call" boxes sold 8:30–9:00 pm, inside the 2 hours	none	Fewer buyers (assume 35% of 900 = 315), price down to ₹40 → margin ₹8 → about **₹2,000 a day**
B. Chill the surplus below 5 °C at 8:45 pm and serve chilled/reheated boxes later	6 chillers × ₹48,000 + 6 × ₹6,000 training = **₹3.24 lakh**, + ₹240/day power	Keeps the ₹50 box and ~540 a day; payback ≈ **40 days**
C. Ask Annapurna to cook a smaller second dinner batch at 9:00 pm	Annapurna's cost	Fresh food, but no longer "surplus": loses the waste story and the ₹25 deal

Strong recommendation: A now (weeks 1–4, no cash needed, passes the first inspection), B funded by the rescue deal from week 2, back to ~540 boxes by week 6, profit back to ~₹8,000 a day by month 2. Risks: inspectors reject reheating (plan B: chilled-only menu, curd rice and salads), chillers delayed (keep A running).

Deal advice for facilitators to watch: a price around **75–85% of the post-crisis price** is fair to both sides. Below 55% with a weak plan raises a collusion flag; at 100% the fund may not sign, and an unsigned deal caps the plan at 50.

Expected scores: costed options + a phased plan + the deal's money tied to the chillers: **80–89** (+20%). One option, no money: **55–65**. "We will follow the rules and continue": **30–45** (−20%).

4. Round 3 model answer (flash, ≤100 words)

> Cooking gas is about ₹4 of Annapurna's ₹42 plate, so +25% adds ~₹1. Our boxes are surplus Annapurna has already cooked, so our cost does not change; but Annapurna may cook less. This week we hold the ₹50 box, offer Annapurna ₹27 instead of ₹25 for three months so it keeps cooking our volume (cost ₹1,080 a day), and promote boxes against delivery apps, whose prices will rise. Net: margin ₹16, still ~₹7,400 a day.

Expected: a number-based answer like this: **75–85** (+5%). A generic "we will absorb costs": **50–60** (0). Ignoring the news: **below 50** (−5%).

5. Running the case

On the night, every squad is dealt its own problem cards by the lottery; this pack is for the **practice round** and the **briefing**. Two ways to play it:

1. **On paper, 90 minutes** (recommended a week before the event). Squads of three teams around a table:
2. Round 1 (30 min): Product writes the pitch on the template; Finance prepares questions; Consulting coaches. Judges score with the rubric; announce IPO prices with the tier table.

3. Round 2 (35 min): announce the crisis; fee and deal on worksheet B (give each squad a post-crisis price, e.g. IPO price × 1.05 × 0.85); plan on the template.
4. Round 3 (15 min): read the flash; 100-word answers in 10 minutes; score.
5. Debrief (10 min): compare the strongest and weakest plans; show how the tiers moved the price.
6. **On the platform**, in a rehearsal event: everything runs as on the night, with its own decks. Upload this case's flash bulletin (seed/flash-bulletins/07-cooking-gas.csv) to practise Round 3 on real screens.

Debrief questions

- Which number in your pitch did the judge reward most? Which was missing?
- Was your deal price fair? Who gave up what?
- If you had planned for hygiene in the pitch, what would the crisis have cost you?
- Funds: which company did the market over-price compared with its AI price, and why?